CB monthly update - Vietnam

Jan 2025

CB monthly meeting agenda

1. **Overall**
   a. CB OKR (Lisa)
   b. CB Topline & P&L (Lisa)
   c. CB Competitor Intelligence (Hai)

2. **Commercial**
   a. [For update] SCS (William Yu)
   b. [For update] Lovito (William Yu)
   c. [For update] KR (Chi)
   d. [For update] VNSIP (Hoa)

3. **Programs/Others**
   a. [For update] MP LFF (Eric)
   b. [For discussion] 3PF 2025 Business Direction (Eric/Lisa)
   c. [For discussion] KRCB Official WH proposal (Eric/Tomy)
   d. [For discussion] TT Counter Follow up (Lisa/Summer)
   e. [For update] Taobao counter program update (Nicholas)
   f. [For update] Reg SSP Program (Lisa/Zoe)

Follow up items from last meeting

Follow-ups from last meeting

No.	Topic	Action Items	PIC	ETA	Update
1	**Shopee Official VN WH for KR**	To consolidate bottlenecks for KR sellers who are able to comply with white channel request and discuss with Legal/Finance/Tax about FBS model for KRCB sellers	Eric/Tomy	6 Dec	Propose for KR sellers to sell via Shopee Official VN WH as a local KR seller for easier execution on both seller and platform side. Details in topic Topic 3c: KRCB Official WH proposal
2	**CB XDD Channel Direction**	Review the dynamic EDT feature and decide whether to "sunset" the channel or keep as is until full channel optimized for standard express	JH/Yuna	6 Dec	Ok to use dynamic EDT feature, currently feature hass rolled out to 50% buyers. Aim to roll out 100% to buyers on 17th Jan
		Share ops flow complications for CB XDD channels and incremental CPO of maintaining separate XDD channel vs existing flow	Tuyet/Lisa	6 Dec	Key issues in inconsistent arrival time at SOC and linehaul/hub resulting in under utilised SOC inbound line and manpower planning. Processing XDD as separate channel cost incremental CPO 0.045 compare with STD line. In long run to scale up XDD to nationwide, will need set up a priority operation line across functions with expected incremental CPO 0.065.
		Identify root cause of why KR 5DD ADO coverage in VN is much lower than other CB markets	Iris/Lisa	4 Dec	Addressed in email: low KR 5DD coverage is due to low buyer selection rate resulting from pre-selected channel recommendations on OPC. To improve this via updating EDT calculation formula, launching EDT dynamic feature and whitelist on shop level. Since the feature just launched in Jan'25, will monitor improvement in coverage next month.
3	**Tiktok Shop Growth Deep Dive**	**Dual CB brand sellers: To propose additional counter TT program resources to match TT offer across onsite visibility, live/videos content support, and PRM. Target to launch after mid-Dec**	Kaiwen	6 Dec	**New program live since this month, details in topic 3d: TT Counter Follow up**
		TTS only CB C2C sellers: To verify growth levers from TT and identify seller types, assortment and pricing competitiveness. To launch CB counter action plan on SHP only CB sellers		13 Dec	**Growth levers from TTS CB mainly in content, especially those driven by KOL. Details in topic 3d: TT Counter Follow up**
4	**JP Seller Growth Plan Review**	1) JP to share onboarding timeline of JP brand sellers, VN incubate in existing new brand program	Toshi/Hai	6 Dec	JP has planned pipeline of top brand principals Shiseido and Kao (target 20% of JP ADO), and VNCB has planned for brand launch package to support aggressive PRM and visibility in first 3 mths.
		2) Review current JP resource/visibility support growth plan, to top up where needed		6 Dec	To launch dedicated JP campaign on monthly basis (similar to KR campaigns) and new product filter search for "Japan" assortment from Mar'25

Topic 1: Overall CB budget/ FP&A update

VNCB OKR - All metrics on track to hit Jan target

Market	CB OKR	Dec'24 Actual	Jan'25 Actual	Jan'25 Target	MTD Actual vs. Target%	Dec vs Nov MoM
VN	CB ADG as % of SHP	9.3%	9.6%	8.4%	114.1% ▲	3.2%
VN	CB ADO as % of SHP	19.1%	18.7%	16.4%	114.4% ▲	-2.1%
VN	CB ADG share in SEA+TW (TTS + LZD)	100.0%	0.0%	68.5%	0.0% —	-100.0%
VN	CB EBITDA as % CB GMV	-2.5%	0.0%	-4.6%	0.0% —	-100.0%
VN	LS ADG as % SEA+TW CB	8.5%	7.8%	5.6%	138.8% ▲	-8.3%
VN	Video ADG as % SEA+TW CB	9.8%	10.1%	8.7%	116.0% ▲	3.0%
VN	LS ADO as % SEA+TW CB	7.0%	6.6%	5.0%	-	-
VN	Video ADO as % SEA+TW CB	11.1%	11.2%	10.1%	-	-
VN	CB average BWT	554.0%	535.0%	565.0%	94.8% ▲	-3.3%
VN	CPO for SEA+TW	84.0%	0.0%	91.0%	0.0% —	-100.0%
VN	Same Day shipout %	82.1%	76.2%	63.0%	121.0% ▲	-7.2%
VN	XDD + NDD coverage %	7.9%	11.9%	9.0%	132.1% ▲	50.9%
VN	Ship from Local ADO% of all CB and CN Managed CNLS Seller	12.9%	13.3%	13.0%	101.7% ▲	2.7%
VN	% net price competitiveness vs TTS	48.8%	0.0%	40.0%	0.0%	-100.0%
VN	% Bidding winning SKU ADO Coverage	7.1%	0.0%	7.9%	0.0% —	-100.0%
VN	CB SCS + Lovito ADO% of CB ADO	7.7%	7.4%	6.0%	122.5% ▲	-3.5%
VN	CB SCS Shop P&L	-72,499	0.0%	-737,046	0.0% —	-100.0%
VN	Lovito Shop P&L	-37,874	0.0%	-80,691	0.0% —	-100.0%

Key Highlights:

- CB ADO% and ADG% contribution to platform over target, same as platform trend thanks to high buyer demand before Lunar New Year period
- All metrics are on track to hit target by end of month

VNCB Topline & P&L - Jan'24 CB MP PnL target at -$2.5M with total CB MP PC2 at -$2.5M and adjusted PnL -$0.5M

		Dec 24	Jan 25				Feb 25
		Actual	Projection	Target	RR	MoM	Target *
VNCB	CB Gross ADO	870,172	746,418	719,869	104%	▼14.2%	662,263
	CB ADO%	19.1%	17.6%	16.4%	107%	▼1.5%	15.1%
	CB ADGMV($)	3,365,711	2,982,991	2,910,088	103%	▼11.4%	2,897,513
	CB ADGMV(%)	9.3%	8.9%	8.4%	106%	▼0.4%	8.4%
	ABS($)	$3.9	$4.0	$4.0	99%	▲3.3%	4.38
MP P&L	Revenue ($)	16,439,367		11,925,852			11,033,733
	PRM ($)	-18,836,223		-14,078,680			-12,966,576
	PC2 ($)	-2,847,644		-2,542,592			-2,283,366
	PC2 (%)	-2.7%		-2.8%			-2.8%
	Take Rate %	15.8%		13.2%			13.6%
	CIR %	-18.1%		-15.6%			-16.0%
Lovito	Lovito ADO	3,281	2,861	5,970	48%	▼12.8%	5,614
	Lovito ADGMV($)	12,927	13,474	16,120	84%	▲4.2%	15,720
	Lovito Standalone P&L ($)	-252,899	-43,094	-55,956	123%	▲83.0%	-41,380
SCS	SCS ADO	63,458	53,663	57,322	94%	▼15.4%	57,785
	SCS ADGMV ($$)	112,708	97,629	108,911	90%	▼13.4%	109,791
	SCS Standalone P&L ($)	-554,058	-502,208	-750,521	133%	▲9.4%	-804,196
SLS	SLS P&L ($)	4,338,792	3,716,813	2,814,510	132%	▼89.8%	2,349,576
	SLS P&L %	23.7%	-	17.7%			17.4%
*SLS P&L%: SLS P&L/Rev							
VNCB Total P&L		684,191 (1)	-	-534,558 (2)		-%	-779,367

CB P&L update:

1. **Dec'24 CB PnL actual recorded at $684.2M**, with CB MP PC2 at -$2.8M, Lovito at -$0.2M, SCS at -$0.5M and SLS $4.3M.
2. **Jan'25 CB PnL target at -$534.5M** driven by SLS revenue drop on CNY period.

VNCB Competitor - Overall VNCB SHP/TT ADO gap maintain at 1.8 from Nov'24 to Dec'24 with major contribution from Fashion due to high demain season

VNCB SHP/TTS Overview

		Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24
CB ADO	SHP CB ADO (K)	726	753	725	749	750	772	870
	TTS CB ADO (K)	206	232	287	325	377	425	496
	SHP/TTS ADO Multiple	**3.5**	**3.2**	**2.5**	**2.3**	**2.0**	1 **1.8**	**1.8**
%CB ADO	%SHP CB ADO	*20.3%*	*20.5%*	*19.2%*	*19.3%*	*19.4%*	*18.9%*	*19.1%*
	%TTS CB ADO	*7.9%*	*9.1%*	*10.1%*	*10.7%*	*10.6%*	*11.1%*	*11.0%*

		Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24
CB ADG	SHP CB ADG (K)	2,525	2,545	2,671	2,836	2,699	3,031	3,366
	TTS CB ADG (K)	687	792	986	1,142	1,275	1,523	1,827
	SHP/TTS ADG Multiple	**3.7**	**3.2**	**2.7**	**2.5**	**2.1**	**2.0**	**1.8**
%CB ADG	%SHP CB ADG	*9.5%*	*9.5%*	*9.2%*	*8.7%*	*9.0%*	*9.0%*	*9.3%*
	%TTS CB ADG	*4.3%*	*5.1%*	*5.6%*	*6.2%*	*6.3%*	*6.7%*	*6.9%*

Key Highlights:

1 Overall, SHP/TTS ADO maintain at 1.8x from Nov'24 to Dec'24.

- On category level, Fashion drive TTS CB growth with high growth rate at 24.5% (same as SHP CB) due to high demain season (CNY).
- PRM: TTS VN maintain the highest CIR across SEA market with Dec'24 CIR at 19.4% and focus to light weight product like Fashion, HB and small Home decoration.

Topic 2a: Commercial - SCS

Topline & PnL - SCS: ADO/ADG exceed target as PID sunset is delayed. ABS and Seller PC3 are projected to miss targets due to more items at CSPU cheapest price than expected

		Dec 24	Jan 25					Feb 25
	metrics	Actual	Projection	Target		RR	MoM	Target
VN SCS	ADO	63,458	53,543	41,301	1	130%	-16%	43,746
	ADGMV	112,708	96,726	83,781		115%	-14%	88,742
	ABS	1.8	1.8	2.0	2	89%	2%	2.0
	Seller PC3	**267.5 k**	**239.6k**	**337.7k**		**(98.1k)**	**(27.8k)**	**326.0k**
	Standalone P&L	**(240.0 k)**	**(499.8k)**	**(439.8k)**		**(60.0k)**	**(259.8k)**	**(424.3k)**

Key Highlights:

1. **ADO and ADG:** ADO and ADGMV exceed target by much because PID sunset is being delayed. The timeline for PID sunset is still being determined by SnR team.
2. **ABS and Seller PC3:** ABS and Seller PC3 are behind target because we have more items locked at a low price aiming to be CSPU cheapest after SnR changed cheapest to daily. We expect to catch up as we release some of those items and increase their price

Topic 2b: Commercial - Lovito

Topline & PnL - Lovito: Both ADO and ADG exceeds target because demand for CNY is higher than expected

		Dec 24	Jan 25				Feb 25
	metrics	Actual	Projection	Target	RR	MoM	Target
VN Lovito	ADO	3,281	2,914	2,156	1 135%	-11%	2,199
	ADGMV	12,927	13,914	8,239	2 169%	8%	8,515
	ABS	3.9	4.8	3.8	125%	21%	3.87
	Seller PC3	**35.5 k**	**39.9 k**	**22.2k**	**17.7k**	**4.4k**	**20.4k**
	Standalone P&L	**(230.4 k)**	**(41.4 k)**	**(61.3k)**	**20.0k**	**189.1k**	**(57.7k)**

Key Highlights:

1. ADO exceeds target because of higher than expected demand for CNY on the platform
2. ADG exceeds target more because less mini spike day this month, which typically has a higher share of low price order

Topic 2c: Commercial - KR CB

Commercial - KR CB: Jan MTD ADO 14.8K, strong uplift +104% PoP with huge impact from Free Top KOL LS for CB

	Performance Summary	Nov - 2024	Dec - 2024	Jan - 2025
Business Performance	1 KRCB Gross ADO	15,689	7,213	14,759
	KRCB ADO%	0.4%	0.2%	0.3%
	KRCB ADGMV	157,240	91,066	166,361
	KRCB ADGMV%	0.6%	0.3%	0.4%
	KRCB MP ABS	10.0	12.6	11.3
Revenue	**Revenue (monthly)**	**231,333**	**168,201**	**224,957**
	Take Rate %	**18.4%**	**23.1%**	**16.9%**
	Commission Fee%	2.6%	2.8%	2.9%
	Service Fee%	5.2%	5.2%	6.0%
	Handling Fee%	3.6%	3.7%	3.9%
	Net Paid Ads%	4.1%	6.9%	4.1%
	Marketing Packages%	2.8%	4.5%	0.0%
Cost	**PRM (monthly)**	223,383	88,703	220,052
	PRM (monthly) exclude Gov fund	**163,035**	**16,606**	**220,052**
	CIR %	17.8%	12.2%	16.5%
	CIR % exclude Gov fund	13.0%	2.3%	16.5%
	Item Rebate%	1.5%	0.4%	1.2%
	Voucher Rebate%	12.2%	8.4%	11.8%
	Logistics Rebate%	4.0%	3.4%	3.6%
	Coins%	0.0%	0.0%	0.0%
KR Gov Fund	**Gov_fund**	60,348	72,097	0
	rebate_cost%	31.0%	23.0%	0.0%
	voucher_cost%	57.9%	77.0%	0.0%
Profitabili exclude Gov Fund	2 **PC1% exclude gov fund**	5.4%	20.8%	0.4%
	PC2% exclude gov fund	4.8%	20.2%	0.1%

Key highlights:

Dec Performance:

1. **ADO achieves 7.2K, -54% MoM due to**
   - Top sellers decrease performance for reducing investment in MKT packages during pre-spike period
   - No free Top KOL LS dedicated for CB taking place on the same period with Nov
2. **PC1 improves to 20.8% due to**
   - CIR% reduces for extra Gov budget allocation +20% for both campaign & livestream

Jan Performance:

1. **ADO achieves 14.8K, +104% MoM due to**
   - High performance on Free Top KOL LS for CB on Jan 03, uplift 3x vs BAU, contributing 22% ADO% to KRCB
2. **PC1 reduces to 0.4% due to**
   - Low seller investment in MKT packages in Jan for the impact of holiday

KRCB Initiatives Highlights:

- **Exclusive KOL Live on SHP for JBP 2025 Sellers:**
  - **Objective:** Offer high GMV commitment, low CIR & commission waiver in exchange for seller exclusive live price in full year 2025. Prevent TTS from getting lowest price.
  - **Curren Progress:** Successfully seal the deal with 6 top JBP brands
- **New Brand Incubation Program 2025:**
  - **Objective:** Aim to incubate Brands in a commissive long-term period to increase the number of qualified & sustainable Brands
  - **Target:** Incubate 60 new brands, contributing 15% ADO% by Dec'25

Topic 2d: Commercial - VNSIP

Commercial - VNSIP: Jan MTD landed at 19.7K ADO (109% target), MoM +5%, ABS $9.9. Combined P&L was positive at +3.3% with a target of 4.6% in Jan

MTD Jan'25 performance

	Jan'25	%Target	M-1 MoM
ADO	**19,709**	**109%**	**5%** 1
MY	11,202	116%	13%
SG	3,123	104%	10%
PH	2,845	114%	-11%
TW	383	91%	1%
TH	2,156	85%	-16%
ADG	**195,507**	**100%**	**-15%**
MY	91,592	112%	-2%
SG	45,364	94%	-2%
PH	27,350	106%	-24%
TW	6,677	85%	-17%
TH	24,524	76%	-22%
ABS	**9.9**	**92%**	**-19%** 1
MY	8.2	97%	-14%
SG	14.5	91%	-11%
PH	9.6	92%	-14%
TW	17.4	94%	-17%
TH	11.4	90%	-7%
Selling seller	1 **17,505**		**2%**
MY	9,947		4%
SG	7,448		2%
PH	2,871		-6%
TW	3,305		1%
TH	1,124		-1%

VNSIP P&L Jan'25 actual & forecast

		Actual Dec-24	MTD Jan-25	Forecast Jan-25	Forecast Feb-25
SPVN MP P&L					
Revenue	Platform Fees	$483,316	$101,260	$460,003	$407,077
Costs	Platform PRM + SIP Subsidy	-$655,533	-$108,016	-$460,003	-$407,077
	PC2	-$172,217	-$6,757	$0	$0
VN SPX P&L					
Revenue	p_bpsf / order	$385,606	$78,470	$375,125	$330,745
Costs	spx costs / order	$122,074	$24,842	$128,320	$113,139
	SPX Margin	$263,532	$53,628	$246,805	$217,606
VNSIP Standalone P&L					
Revenue	Markup	$1,007,789	$207,927	$1,346,186	$1,185,428
	Subsidy + SLS Comp	$662,845	$107,724	$460,003	$407,077
Costs	Opex Costs	-$298,369	-$42,507	-$248,289	-$218,915
	Overseas PRM	-$484,907	-$100,902	-$859,602	-$757,905
	Platform Costs	-$754,103	-$167,737	-$682,838	-$602,054
	PC2 after vat	$91,929	-$5,706	$0	$0
	Total P Combined	$183,244	$41,166	$246,805	$217,606
		3.3%	3.5%	4.6%	4.7% 2

1 **VN SIP Jan: All lanes with MTD ADO 19.7K (109% target, MoM +5%), ABS $9.9. Selling sellers reached 17.5K selling sellers (+2% MoM)**

- MY & SG had an slightly growth vs. last month (+13% & +10% respectively) driven by early January campaigns.
- PH & TH experienced a downward trend due to reduced demand for seasonal products (e.g., red dresses, outfits).

2 **VN SIP P&L Jan: Combined P-site P&L was positive at 3.3%, with a target of 4.6% by the end of the month.**

Topic 3a: MP LFF

VN MP LFF - MTD Jan at 64K ADO (+61% MoM), 5.7% CB MP ADO% (+0.7pp MoM), MTD target RR 165%, driven by all models (SBS + 3PF + Seller Own WH)

		Nov'24	Dec'24	MTD Jan'25	MTD RR	MoM
Absolute	**LFF ADO (incl. seller own WH)**	**41,491**	**49,300**	**64,401**	**165%**	**61%**
	LFF ADO (excl. seller own WH)	**33,331**	**40,337**	**51,779**	**173%**	**59%**
	- SBS ADO	**16,330**	**20,283**	**24,881**	**158%**	**46%**
	- Existing SKU ADO	14,044	15,388	18,074	157%	38%
	- New SKU ADO	2,286	4,895	6,807	164%	73%
	- Monthly New SKU #	1,265	1,026	391	128%	-51%
	- Total New SKU # (accumulative)	1,265	2,290	2,681	159%	30%
	- New SKU efficiency	1.8	2.1	2.5	103%	32%
	- 3PF ADO (Qualified + Unqualified)	**17,001**	**20,055**	**26,899**	**189%**	**74%**
	- Qualified 3PF ADO	5,132	5,771	7,740	-	80%
	- Unqualified 3PF ADO	11,869	14,284	19,159	-	71%
	- Seller Own Warehouse	**8,160**	**8,962**	**12,622**	**137%**	**69%**
% to CB MP	**CB MP ADO**	**696,512**	**803,460**	**904,138**	**134%**	**25%**
	LFF (excl seller own WH) ADO % to CB MP	**4.8%**	**5.0%**	**5.7%**	**129%**	**27%**
	SBS ADO % to CB MP	**2.3%**	**2.5%**	**2.8%**	**119%**	**17%**

Data updated: 8th Jan

Key Highlights:

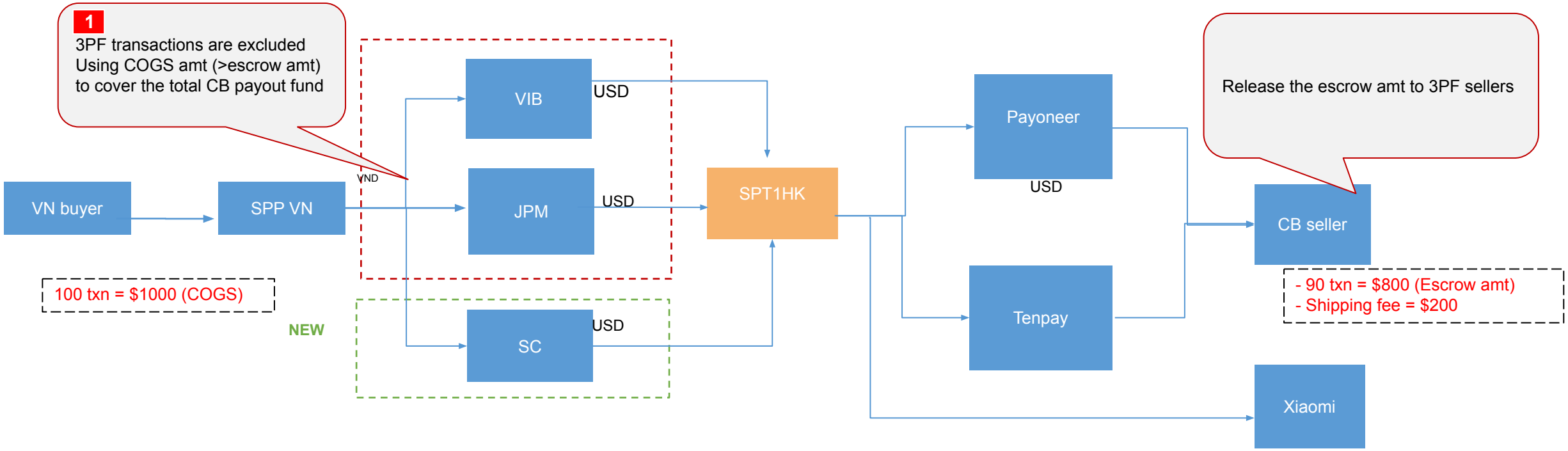
As of MTD 8th Dec, VN MP LFF reached over target at **165%** (**+61%** MoM), **5.7%** ADO% to CB MP (**+0.7pp**). The increment was driven by all models:

- **SBS** *(32% contribution to increment)*: ADO **+46%** MoM, above target at **158%**, ADO% **+0.3pp** to **2.8%** thanks to new SKU inbound with high demand before Tet holiday
- **3PF** *(47% contribution to increment)*: ADO **+74%** MoM, above target at **189%** driven by on-trend seasonality of FMCG (+114%) & Fashion (+61%)
- **Seller Own WH** *(21% contribution to increment)*: ADO **+69%** MoM, above target at **137%**

Topic 3b: VN 3PF 2025 Business Direction

Context | Current 3PF escrow payout may appear non-compliant due to both vendors and sellers unable to provide CDs for white channel import, posing risks on all CB Payout flow

Figure: CB Payout Flow via Local banks - For 3PF



Key highlight:

1 SHP may appear non-compliant as neither Shopee nor the vendor has Customs Declaration document.

- Risk for Shopee: in case of investigation, may be unable to payout the money to 3PF sellers or worst case banned from all cross border escrow payout

Alignment needed | Offer 3 options for existing 3PF CB sellers to continue on Shopee VN. Expect to retain 25K ADO (848 sellers) while 4K ADO (357 sellers) will churn from VN market

Data point: Dec'24, #sellers and ADO are MECE	**Option 1** **Local Shop, convert to CNLS**	**Option 2** **CB Shop, 100% 3PF compliance**	**Option 3** **CB Shop, back to NNWH/SLS**
Seller action	• **3PF CB seller to convert to <u>local</u> seller and become CNLS**	• **3PF CB sellers remain as-is** • **Additional requirements:** Custom Declarations and supporting documents (per Fin checklist) weekly for payment	• 3PF CB sellers revert back to NNWH or SLS
#sellers (% CN/KR 3PF sellers respectively)	• CN: 166/1188 (14%) • KR: 1/17 (6%)	• CN: 302/1188 (25%) • KR: 14/17 (82%)	• CN: 363/1188 (31%) • KR: 2/17 (12%)
Commercial impacts (% CN/KR 3PF ADO respectively)	• CN: 9K ADO (33%) • KR: 11 ADO (1%)	• CN: 7.2K ADO (26%) • KR: 1.5K ADO (95%)	• CN: 7.2K ADO (26%) • KR: 62 ADO (4%)
Timeline	• Seller comm: Jan >> Soft cut-off (to remind sellers last round): mid-Feb >> **Hard cut-off (to freeze shops): End Mar**		
Help needed	• **CN 3PF:** to introduce vendors for local entity, collect seller information for local shop opening • **Local Ops:** to support shop opening for sellers and Mall onboarding (if any)	• **Fin/Tax:** to provide (1) payment/docs checklist and (2) weekly payment SOP • **CN 3PF:** to educate seller compliance	• **CN 3PF/Reg CB Ops:** to mass support sellers on back end for model converting

[Back up] 3PF Commercial impact projected by scenarios based on seller insights

Scenarios		Timeline	Commercial impact evaluation (based on Dec'24 data)	
			CN 3PF - GP#: 1,188 - ADO: 27.4K, CB MP ADO%: 3.5%	**KR 3PF** - Selling seller#: 17 - ADO: 1.6K, CB MP ADO%: 11.0%
[1] Convert to Local	3PF CB seller to convert to local seller (on both front-end and back-end), continue as-is for 3PF services. Payment flow would happen between SHP and local seller entity only Key implications: - For CN, can be managed by existing CNLS teams - For KR, will need local FMCG cluster to manage and own commercial growth (OKR, budget etc.) instead of CB	**End of Mar'25**	GP#: 166, ADO: 9.0K ~ 33%	Seller#: 1, ADO: 11 ~ 1%
[2] Keep as CB 3PF seller with full docs compliance required	3PF CB seller to remain as CB seller in 3PF CB model but seller is required to provide necessary documents including Custom Declarations and supporting documents per Fin checklist every week for payment		GP#: 302, ADO: 7.2K ~ 26%	Seller#: 14, ADO: 1.5K ~ 95%
[3] Convert to NNWH			GP#: 212, ADO: 4.8K ~ 17%	-
[4] Get back to SLS			GP#: 151, ADO: 2.5K ~ 9%	Seller#: 2, ADO: 62 ~ 4%
[5] Stop business in VN site			GP#: 357, ADO: 4.0K ~ 15%	-
LFF impacted = [1] + [4] + [5]			***GP#: 674, ADO: 15.5K ~ 57%***	***Seller#: 3, ADO: 73 ~ 5%***
CB impacted = [5] for CN, [1] + [5] for KR			***GP#: 357, ADO: 4.0K ~ 15%***	***Seller#: 1, ADO: 11 ~ 1%***

For Reference | TTS 3PF Model launched incentive program in Jul'24 to boost CB local fulfillment. Operation flow is somewhat similar to SHP 3PF

TTS 3PF Operations and Performance

Operation date	Launched since Nov'23, with incentive plan from Jul'24
Onboarding requirement	1/ Any seller can join 2/ **No Custom declaration required**
Warehouse model allowed	1/ Seller own WH 2/ Certified WH, including 4 WH in VN: Flash (Hanoi); ANDA (BacNinh); Seayayun (BinhDuong) and J&T (DongNai)
Payment	**Transfer directly to CB shops** via several zero-fee service providers: Wanlihui, Lianlian, Pingpong, Payoneer and Airwallex

TTS CB	Jun'24	Jul'24	Aug'24	Sep'24	Oct'24	Nov'24	Dec'24
3PF ADO	6,910	9,356	10,931	16,730	26,097	37,961	45,089
ADO to CB	3%	4%	4%	5%	7%	9%	9%

Intel from Dual Sellers on TTS 3PF

Surveyed 4 sellers in Dec'24 to get intel on how they operate 3PF on TTS:
Intoyou (Beauty), Ugreen (EL), Carslan (Beauty), Mimall (HL)
** These sellers use the same warehouse for SHP & TTS*

Question	#Sellers	Note
# sellers have CDs (white-channel)	**2/4**	- Ugreen (WH: Flash) - Carlans (WH: ANDA)
# sellers don't have CDs (grey-channel)	**2/4**	- Mimall (Seller own WH) - Intoyou (WH: J&T)
# sellers have ever been asked by authorities or TTS to provide CDs	**0/4**	
# sellers receive money overseas	**4/4**	

TTS 3PF operation flow is similar to SHP 3PF, but their entity is Singapore-based while SHP VN is local based.

Unable to compare risk level between TTS and SHP for CB 3PF

Topic 3c: KRCB Official WH proposal

Executive Summary

Context

- **Key change sparking discussion vs historical closure of CBWH:** KRCB brands (especially big TTS) have high willingness to comply with proper product documentation requirements to be "Fulfilled by Shopee" (FBS). In the past, CNCB beauty brands had difficulty accepting this which contributed to the sunset of local CBWH in early 2023
- KRCB sellers are using 3rd Party Fulfillment (3PF) model in VN but this model still carries risks of "tax evasion" if sellers cannot provide proof of customs declarations (operating as a grey-channel), i.e. the latest case of Deng Feng involving 27 shops under CNCB 3PF

New model analysis

We analyse **2** potential models using FBS:

More details on next page

- **Consignment:**
  - Key features: Back-end as **CB seller**, S-retail as **importer**, Shopee to **pay to CB seller**
  - Shopee challenges: (1) S-retail to bear responsibility for **product quality**, (2) Need **2 more headcounts** for heavier Tax/Fin execution and **1 specialist** to manage product license application
  - Seller challenges: (1) Find **right vendor** to do license application, (2) **Tedious** white-channel logistics >> Total onboarding lead time: **3 - 8 months**
  - Seller profile: Those who prefer (1) operating as CB shop, (2) direct overseas escrow payments
- **Fulfillment (recommended):**
  - Key features: Back-end as **Local seller**, S-retail as **service provider** for local party of seller, Shopee to **pay to local party of seller**
  - Shopee challenges: No major Legal/Tax/Fin concern
  - Seller challenges: (1) Create **local entity** to be the party named on product license, (2) Find **right vendor** to do license application >> Total onboarding lead time: **6 - 12 months**
  - Seller profile: Those who are able to operate as Local shop

Key Implications

Propose to switch to 3PF white-channel model in parallel for CB sellers who are not willing to convert local yet, and push higher willingness CB sellers to convert to local and use VN FBS. **Expect VN WH CB FBS size to be small in 2025 due to lead time for sellers to set-up local entity.**

Key implications: For CN sellers converting to local, can be managed by existing CNLS teams. For KR sellers converting to local, will need local FMCG cluster to manage and own commercial growth (OKR, budget etc) instead of CB.

Model Analysis | (i) Short term: Keep Seller Compliance with White-Channel for Current 3PF Model & (ii) Long term: Recommend Fulfillment Model to Brands Ready to Operate as Local Shops

Analysis areas		3rd Party Fulfillment WH	Shopee Official Local WH	
		3PF - Current	Consignment - New	Fulfillment - New
Commercial impact (Dec'25 projection)		ADO: 12.7k ADO% to KRCB: 36%	ADO: 7.2k ADO% to KRCB: 20%	ADO: 3.1k ADO% to KRCB: 10%
Key features	Back-end shop	**Cross-border**	**Cross-border**	**Local**
	Front-end shop	Local	Local	Local
	Importer	Local party of CB seller	S-Retail	Local party of CB seller
	Contract parties	CB seller - Local party of CB seller	Shopee - S-Retail - CB seller	Shopee - S-Retail - Local party of CB seller
	Payment flow	Shopee -> **CB seller (overseas)**	Shopee -> **CB seller (overseas)**	Shopee -> **Local party of CB seller**
Benefits (+) & challenges (-)	Shopee	• (-) Risks of "tax evasion" investigations for overseas payment	• (+) No risks of "tax evasion" • (+) FBS revenue • (-) Legal: use S-Retail name on Dossier for product license, responsible for product quality >> Need 1 specialist HC to manage license authentication • (-) Tax/Fin: Short-term Need 2 HC for execution (tax declare, recon, payment), Long-term: Feature development to control consistent actual listing price vs. import	• (+) No risks of "tax evasion" • (+) FBS revenue
	Seller	• (-) No "FBS" tag for better conversion • (-) Risks of "tax evasion" investigations • (+) Cheaper grey-channel logistics • (+) Shorter onboard lead time: **1 - 3 mth** • (+) No need to set-up/find local entity to receive payment, direct escrow to KR • (-) Need to find vendor named in Dossier • (-) Need to find vendor for actual license application services	• (+) "FBS" tag for better conversion • (+) No risks of "tax evasion" • (-) Higher white channel costs • (-) Longer onboard lead time: **3 - 8 mth** • (+) No need to set-up/find local entity to receive payment, direct escrow to KR • (+) Can use S-retail named in Dossier • (-) Need to find vendor for actual license application services	• (+) "FBS" tag for better conversion • (+) No risks of "tax evasion" • (+) Cheaper grey-channel logistics • (-) Longer onboard lead time: **6 - 12 mth** • (-) Need to set-up or find local entity to receive payment, escrow to VN only • (-) Local entity to be named in Dossier • (-) Need to find vendor for actual license application services
		Switch to white-channel		**Recommended**

Topic 3d: TT Counter Follow up

TT Counter Follow up | SHP/TTS ADG ratio declined to 2.0x from Jan to Nov'24 and significantly lagged behind on content performance.

Table 3d.1. TTS performance Jan'24 vs Nov'24

Overall	ADG contribution%		
	Jan	Nov	(+/-) delta
TTS CB in VN	**640k**	**1,523k**	
Content	**62.0%**	**67.0%**	**+5.0%**
Livestreaming	14.0%	12.0%	**-2.0%**
Short-videos	48.0%	55.0%	**+7.0%**
Non content	**38.0%**	**33.0%**	**-5.0%**
SHP CB in VN	**3,241k**	**3,031k**	
Content	**4.6%**	**16.7%**	**+12.1%**
Livestreaming	4.5%	8.1%	**+3.6%**
Short-videos	0.1%	8.6%	**+8.4%**
Non content	**95.4%**	**83.3%**	**-12.1%**
SHP/TTS Overall	**5.1**	**2.0**	**-3.1**
SHP/TTS Content	0.4	0.5	**+0.1**
SHP/TTS Non content	12.8	5.1 1	**-7.7**

Table 3d.2. Seller survey result about content performance

Sample Survey (n = 9)							
Livestream	**TTS**	**SHP**	**SHP/TTS ratio**	**Video**	**TTS**	**SHP**	**SHP/TTS ratio**
# Seller Live / mth	**517**	**355**	**0.7**	**# Seller Videos / mth**	**1,460**	**1,118**	**0.8**
Seller Live ADO%	*14%*	*19%*	*1.4*	*Seller Video ADO%*	*10%*	*1%*	*0.1*
# KOL Live / mth	**1,456**	**11,626**	**8.0**	**# KOL Videos / mth**	**5,952**	**1,069**	**0.2**
2 *KOL Live ADO%*	*32%*	*24%*	*0.8*	*KOL Video ADO%*	*26%*	*8%*	*0.3*

Sample Survey (n = 9)	# sellers	Performance				Activities (mthly)			
		Livestream		Video		Livestream		Video	
		KOL ADO%	Seller ADO%	KOL ADO%	Seller ADO%	# KOL session	# seller session	# KOL videos	# seller videos
Total Beauty	**4**	**31%**	**14%**	**32%**	**13%**	**380**	**122**	**1,142**	**397**
High ABS seller (>6)	*2*	2a *57%*	*14%*	*10%*	*4%*	*365*	*41*	*542*	*72*
Low ABS seller (<4)	*2*	*5%*	*15%*	2b *55%*	*23%*	*15*	*81*	*600*	*325*
Total Fashion	**5**	**12%**	**12%**	**30%**	**15%**	**241**	**57**	**902**	**131**
Brand seller	*2*	*15%*	*17%*	2c *27%*	*4%*	*52*	*51*	*180*	*41*
C2C seller	*3*	*8%*	*7%*	*33%*	*27%*	*189*	*7*	*722*	*91*

Key highlight:

1 Overall SHP/TTS ADG ratio declined to 2.0x from Jan'24 to Nov'24, non-content is still ahead of TTS at 5.5x, while content significantly behind at 0.5x.

2 Dive-in Content channel: based on sample survey of 9 top CN TTS sellers in our SHP CB counter program, we see that KOL activities is a bigger driver on both platforms for live and video but SHP lagging behind TTS in ADO contribution (gap 8% in KOL Live ADO% and 18% in KOL Video ADO%)

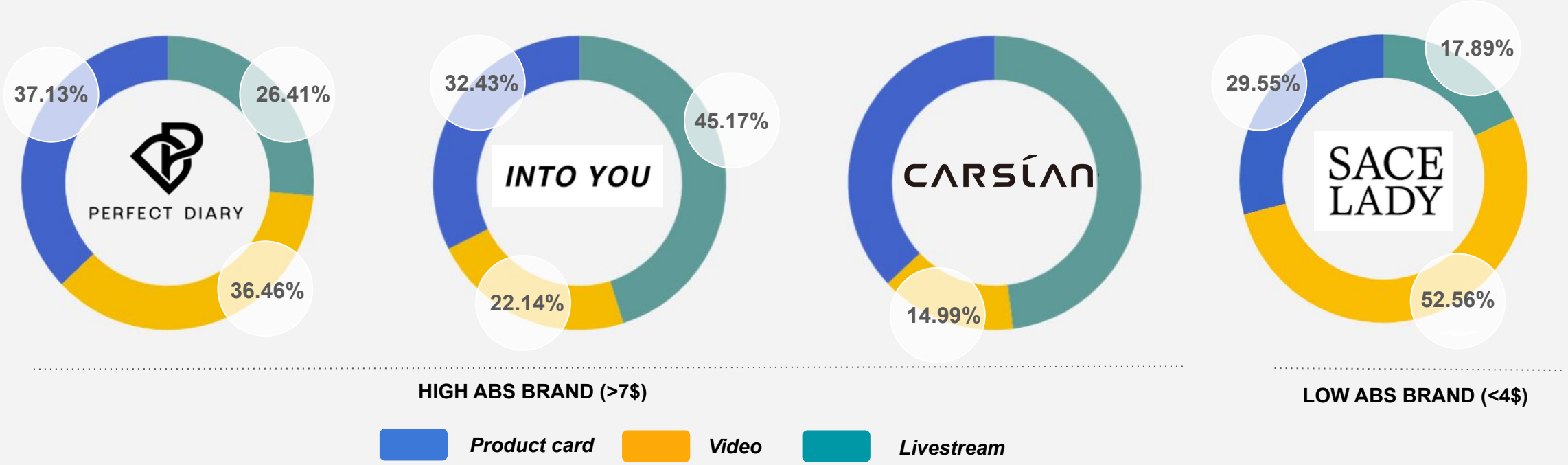
- 2a **Beauty brand: High ABS brands heavily driven by KOL Live** (%ADO at 57%) and majoring via KOL Tier 1 (cover 80 - 90% KOL Live), we missing top KOL VHL (contribute most to CB Brand) and require the exclusive deal from brands. **Lo** 2b **BS brand mainly driven by KOL Video** (%ADO at 55%).
- **Fashion brand**: both brand and C2C sellers are KOL-video driven.

2c

[Back-up] Content is key growth driver for top surveyed brands, mostly from KOL activities

SELLER PROFILE: Top dual sellers accounting for 14% CB FMCG ADGMV and fast growing on TTS (**SHP/TTS multiple 0.4x)**

SELLER SCREENSHOTS OF TTS PERFORMANCE



SELLER FEEDBACK:

TTS offers two methods for pushing KOL live and videos:

1. Similar to Shopee: TTS creator marketplace to passively list commissions and wait for KOLs to discover
2. Reach KOLs or MCNs directly via personal contact information on TTS creator marketplace

Key differences between TTS and Shopee:

3. TTS allows sellers to boost KOL videos with ads
4. TTS provides access to a larger pool of KOLs

TT Counter Follow up | 2025 TTS incentives aim to cover 75% of TTS Dual ADG with more aggressive PRM and Content support.

Current performance

Table 3d.3. TTS counter incentive performance till Nov'24

		FMCG	Fashion	Electronics	Lifestyle	Program Total
#seller	Nov	42	76	15	5	138
	Oct	39	84	14	5	142
	Sep	37	87	13	8	145
	Nov vs Oct Delta	**3**	**-8**	**1**	**0**	**-4**
SHP ADG($K)	Nov	143.1	55.3	38.6	2.9	239.9
	Oct	117.4	57.5	36.5	0.9	212.3
	Sep	121.8	54.7	33.9	2.0	212.4
	Nov vs Oct Delta	**21.9%**	**-3.9%**	**5.7%**	**224.6%**	**13.0%**
	Coverage of TTS dual	39.5%	67.1%	59.4%	96.0%	46.9%
TTS ADG($K)	Nov	291.0	67.4	59.9	5.0	423.3
	Oct	223.6	61.0	52.4	3.6	340.7
	Sep	206.0	55.5	48.5	3.1	313.0
	Nov vs Oct Delta	**30.1%**	**10.5%**	**14.3%**	**38.0%**	**24.3%**
	Coverage of TTS dual	71.2%	81.0%	48.7%	63.6%	67.8%
SOB	Nov	0.5	0.8	0.6	0.6	0.6
	Oct	0.5	0.9	0.7	0.2	0.6
	Sep	0.6	1.0	0.7	0.7	0.7
	Nov vs Oct Delta	**0.0**	**-0.1**	**-0.1**	**0.3**	**0.0**

Key highlight:

- Overall VN CB maintained a similar SOB for TT counter program sellers from Oct to Nov, while SHP CB SOB overall declined in same period.

2025 Improvement

Key learning:

- **Shop fundamental push is essential** to secure seller in-app investment by offering campaign exposure, ads rebate and PRM support.
- **Content incentive** explore to address the key gap on content vs TTS

Target Sellers		FY 2024	FY 2025
Program Coverage	Shop Criteria	Keep same: - TTS ADO >20 - Aligned with cluster key push categories	
	# Shops	148	**300**
	TTS ADG (k)	423	847
	TTS Dual ADG coverage%	68%	**75%**
Program Key Resource Top-ups	PRM top-up	- Budget 120K/mth - CIR 11%	**- Budget 200K/mth** **- CIR 15%**
	KOL Live	Leverage existing platform KOL live sessions	*Detail on next slide*
	Seller Live	Sponsor 40 MCN live sessions/seller/mth	No MCN sponsor, give incentive for achieving livestream ADO targets
	KOL Video	Leverage existing platform video missions	*Detail on next slide*
	Seller Video	Leverage existing platform video missions	Give incentive for achieving video ADO targets

CB Content Push Plan Q1 | KOL Livestream & Video Activities

Key strategy	Initiative	Biz impact	Action plan
Livestream	VHL counter (JBP exclusive)	**Total #adopt seller:** 40 sellers **Total CB Live ADO%:** 25%	Top TTS only KOL Vo Ha Linh (VHL) has secured exclusive top CB SKUs like Carslan, Judydoll, Colorkey etc for her livestreams in 2024. ● Secured 6 KR JBP brands to have exclusive price on SHP KOL live ● In process to secure more CN JBP brands for exclusive price on SHP too
	Top KOL Variable Fee Pilot	**#Adopt sellers:** 10 sellers (uplift 1.4x) **CB live ADO%:** 5%	Allow whitelisted top dual sellers to skip fixed booking fee and only pay variable commission fee to appear in top KOL live on SHP, similar to their treatment on TTS
	SHP Initiated KOL Live	**Total target session:** 35 sessions/mth **Adopt seller:** ● KOL: 50 sellers (uplift 1.3x) ● Dedicated CB: 230 sellers (uplift 1.1x) ● Cluster specific: 40 sellers (uplift 1.3x) **CB Live ADO%:** 30%	● **KOL Sessions:** Continue to join in SHP and MCN managed KOL sessions on BAU and spike days ● **Dedicated CB Session:** To increase # of CB dedicated KOL livestreams ● **Cluster-Specific:** Continue to join in SHP cluster managed KOL sessions (Beauty day, Shopee Style, Tech zone, Shopee Home)
	Seller Initiated KOL Live	**#Adopt sessions:** Estimate 5 sessions/mth **CB Live ADO%:** 5%	**KOL package:** Top JBP brands will contact top KOLs based on their own connections to do seller livestream on SHP account, with additional PRM and traffic from SHP
Video	Higher commission incentives	**Commission%:** 7.4% for Video, 4.8% for Livestream	Incentivize sellers to increase %commision on videos and livestreams to attract more creators and KOL streamers to adopt CB products
	KOL contact info sharing	**NA**	SHP to target an increase in KOL personal contact sharing on SHP portal, enable more sellers to engage SHP KOL creators proactively for video content

CB Content Push Plan Q1 | Seller Livestream & Video Activities

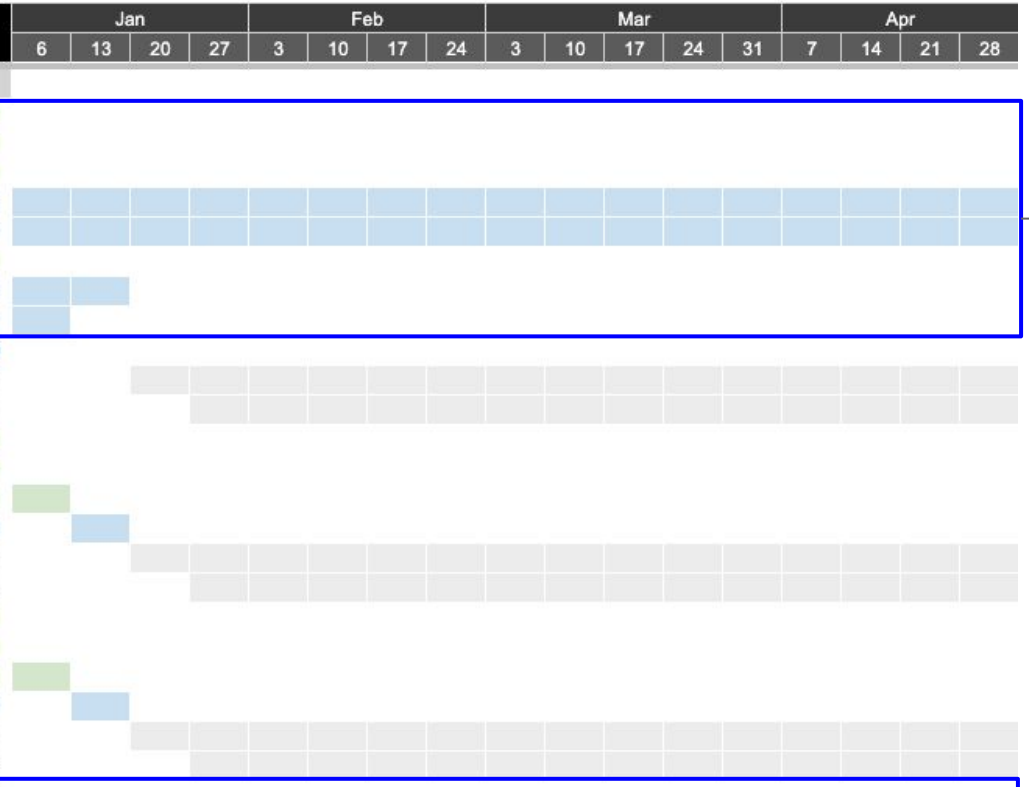
Key strategy	Initiative	Biz impact	Action plan
Livestream	Seller self-stream	**#Seller:** 450 (uplift 1.1x) **#Session:** 6.5k (uplift 1.2x) **CB Live ADO:** 40%	**Increase incremental #live sessions for all active sellers** Activeness task: to reach live hour GMV task: to reach GMV in live
	Streamer network	**#Session:** 1000 sessions/mth **#Seller:** 100 sellers **CB Live ADO%:** 5% (uplift 1.1x)	**Streamer network barter package:** Offer free streamers for inactive big TTS or big SHP sellers who do not have manpower for SHP LS ● **Requirement:** Sellers must be in the ContentX program and have an ABS > $4.5 ● **Benefit:** Shopee sponsors streamer livestream sessions and PRM support to drive traffic
Video	Seller Mission	**#Sellers:** 550 sellers **#Qualified video:** 140 (uplift 2x) **CB Video ADO:** 1%	Motivate seller to post more daily video with e-commerce good quality (ECGQ)
	Top SKU Video Mission	**#Item:** 25K top item **#New top item active:** 1.7K new item (uplift 1.2x) **Adoption:** 6.8% **CB Video ADO:** 2%	Increase seller video coverage of top CB SKUs
	KR/JP Video PC upload	**#Adopt:** Top 1000 KR sellers doing seller video (uplift 1.5x) **CB Video ADO:** 10%	**Objective:** Unblock PC Upload for KR Sellers **Context:** 7K CN sellers show strong PC video posting and ADO/ADG metrics, but only 66 KR sellers are currently engaged due to lack of PC video posting feature **Action:** To work with product team to prioritise PC video upload across all markets for KR and JP sellers

Topic 3e: Taobao counter program update

Overall Taobao Regional Progress | SG/MY has started program since Dec'24; VN to start push from this month with SKU migration expected to complete by 19 Jan

Context:
To counter Taobao's fashion overseas push in several markets within SEA, we identified key TB sellers + SKUs on SHP and provide marketing push to grow these assortment

#	Market	Task	Dependency	PIC	Status
a. Phase 1/2 (Pushing existing TB SHP sellers)					
1.1	SG/MY	Seller Identification		SMT	Completed
1.2		Marketing resource alignment		PMO/Local	Completed
1.3		Pitching	1.1/1.2	SMT/SIP	Completed
1.4		Marketing push	1.3	PMO/Local	In Progress
1.5		Performance Tracking		PMO/Local	In Progress
1.6		Additional sellers pitching		SMT	Completed
1.7		SKU Migration		SMT	In Progress
2.1		Seller Identification		SMT	In Progress
2.2	PH	Marketing resource alignment		PMO/Local	Paused
2.3		Marketing push	2.2	Local	To start
2.4		Performance Tracking		PMO/Local	To start
3.1	TH	Seller Identification		SMT	Completed
3.2		Marketing resource alignment		PMO/Local	Completed
3.3		Pitching	3.1/3.2	SMT/SIP	Completed
3.4		SKU Migration	3.3	SMT/PMO	In Progress
3.5		Marketing push	3.3	PMO/Local	To start
3.6		Performance Tracking		PMO/Local	To start
4.1	TW	Seller Identification		SMT	Completed
4.2		Marketing resource alignment		PMO/Local	Completed
4.3		Pitching	4.1/4.2	SMT/SIP	Completed
4.4		SKU Migration	4.3	SMT/PMO	In Progress
4.5		Marketing push	4.3	PMO/Local	To start
4.6		Performance Tracking		PMO/Local	To start
5.1	VN	Seller Identification		SMT	Completed
5.2		Marketing resource alignment		PMO/Local	Completed
5.3		Pitching	5.1/5.2	SMT/SIP	Completed
5.4		SKU Migration	5.3	SMT/PMO	In Progress
5.5		Marketing push	5.3	PMO/Local	To start
5.6		Performance Tracking		PMO/Local	To start



Program started in SG/MY from Dec'24 with ~3.9k ADO currently

To deep dive performance in next slides

VN has completed pitching last week.
1. Push start this month
2. Migration to complete by this week (~52k SKUs)
ETA: 19 Jan

SG/MY Jan MTD Performance | Overall ADO 3.9k (+32% MoM); 92% RR due to low SKU #, to be fixed with system feature launched on 14 Jan

Metric	Market	Total (Taobao Direct + SIP)					Taobao Direct					Taobao SIP				
		MTD	Target	RR (MTD)	M-1	MoM (MTD)	MTD	Target	RR (MTD)	M-1	MoM (MTD)	MTD	Target	RR (MTD)	M-1	MoM (MTD)
ADO	Total	3,900	4,352	90%	2,944	32%	3,707	4,044	92%	2,866	29%	192	308	62%	79	145%
	SG	512	834	61%	391	31%	441	741	60%	353	25%	71	93	76%	38	87%
	MY	3,388	3,518	96%	2,553	33%	3,267	3,303	99%	2,513	30%	121	215	56%	41	199%
ADG	Total	$51,343	$52,002	99%	$33,805	52%	$49,983	$49,934	100%	$33,343	50%	$1,360	2,067	66%	462	194%
	SG	$8,863	$15,349	58%	$7,124	24%	$8,241	$14,592	56%	$6,865	20%	$622	757	82%	259	140%
	MY	$42,481	$36,652	116%	$26,681	59%	$41,742	$35,342	118%	$26,478	58%	$738	1,310	56%	203	264%
ABS	Total	$13.2	$11.9	110%	$11.5	15%	$13.5	$12.3	109%	$11.6	16%	$7.1	6.7	105%	5.9	20%
	SG	$17.3	$18.4	94%	$18.2	-5%	$18.7	$19.7	95%	$19.4	-4%	$8.8	8.1	108%	6.8	29%
	MY	$12.5	$10.4	120%	$10.5	20%	$12.8	$10.7	119%	$10.5	21%	$6.1	6.1	100%	5.0	22%
Sellers	Total	82	/	/	35	134%	51	/	/	35	46%	31	/	/	0	-
	SG	75	/	/	60	25%	44	/	/	31	42%	31	/	/	29	7%
	MY	79	/	/	62	27%	50	/	/	34	47%	29	/	/	28	4%
Shops	Total	373	/	/	336	11%	155	/	/	120	29%	218	/	/	216	1%
	SG	182	/	/	165	10%	68	/	/	53	28%	114	/	/	112	2%
	MY	191	/	/	171	12%	87	/	/	67	30%	104	/	/	104	0%
SKUs	Total	132,786	228,035	58%	98,299	35%	109,306	147,023	74%	72,846	50%	23,481	81,013	29%	25,453	-8%
	SG	58,716	110,980	53%	40,337	46%	44,431	68,506	65%	24,781	79%	14,285	42,474	34%	15,555	-8%
	MY	74,071	117,056	63%	57,962	28%	64,875	78,517	83%	48,064	35%	9,195	38,539	24%	9,898	-7%
SKU effi	Total	2.94%	1.91%	154%	3.00%	0%	3.39%	2.75%	123%	3.93%	-1%	0.82%	0.38%	215%	0.31%	1%
	SG	0.87%	0.75%	116%	0.97%	0%	0.99%	1.08%	92%	1.43%	0%	0.50%	0.22%	226%	-	-
	MY	4.57%	3.01%	152%	4.40%	0%	5.04%	4.21%	120%	5.23%	0%	1.32%	0.56%	237%	0.41%	1%
MP PC2 %	Total	2.47%	/	/	2.62%	-0.16%	1.96%	/	/	2.45%	-0.49%	20.91%	/	/	0.00%	+20.91%
	SG	6.15%	/	/	3.75%	+2.40%	4.37%	/	/	3.41%	+0.95%	29.78%	/	/	0.00%	+29.78%
	MY	1.70%	/	/	2.32%	-0.62%	1.49%	/	/	2.20%	-0.71%	13.44%	/	/	0.00%	+13.44%
MP PC2 (USD)	Total	$1,267	/	/	$887	$379	$982	/	/	$818	$164	$284	/	/	$0	$284
	SG	$545	/	/	$267	$278	$360	/	/	$234	$126	$185	/	/	$0	$185
	MY	$721	/	/	$620	$102	$622	/	/	$584	$38	$99	/	/	$0	$99

** Data as of 12 Jan'25*

Key highlights:

- MTD ADO 3.9k (+32% MoM) → SG 512 (+31% MoM), MY 3.4k (+33% MoM)
- SKU # 132k → Below target at 58% RR, pain point sellers face is to mass publish SKUs, which will be solved with system feature launched on 14 Jan
- SKU Effi → Above target 164% RR

SG/MY ADO Targets H1'25 | To grow to 9.4k ADO by Jun'25 (+5.5k ADO from current) with ~170k SKUs in each market

MY/SG Targets H1'25:

Market	Metrics	*MTD* Jan'25	*Projected* Feb'25	*Projected* Mar'25	*Projected* Apr'25	*Projected* May'25	*Projected* Jun'25
MY	ADO	3,388	4,425	5,026	5,669	6,368	7,298
	ABS	12.5	12.5	12.5	12.5	12.5	12.5
	ADG	$42,481	$55,313	$62,825	$70,863	$79,600	$91,225
	# of SKUs	74,071	157,034	160,409	163,784	167,159	170,534
	SKU Efficiency	0.046	0.028	0.031	0.035	0.038	0.043
SG	ADO	512	1,173	1,404	1,651	1,942	2,095
	ABS	17.3	17.7	17.5	17.4	17.3	17.2
	ADG	$8,863	$20,759	$24,579	$28,682	$33,680	$35,951
	# of SKUs	58,716	152,855	155,855	158,855	161,855	164,855
	SKU Efficiency	0.009	0.008	0.009	0.010	0.012	0.013
Total	ADO	1 **3,900**	**5,598**	**6,430**	**7,320**	**8,310**	**9,393**
	ABS	$13.2	$13.6	$13.6	$13.6	$13.6	$13.5
	ADG	$51,343	$76,072	$87,404	$99,545	$113,280	$127,176
	# of SKUs	2 132,786	309,889	316,264	322,639	329,014	335,389
	SKU Efficiency	0.029	0.018	0.020	0.023	0.025	0.028

Key highlights:

1. Expected 5.5k ADO uplift from Jan to Jun - 3.9k from MY and 1.5k from SG
2. # of SKUs increase from tool projected at +178k
3. To start alignment for VN targets this week (ETA completion 24 Jan)

[Back up] VN vs MY/SG package comparison

Type	Sub-Type	Seller Commits			Shopee Commits		
		VN	MY	SG	VN	MY	SG
Marketing Tools	Ads	1 Uplift in ads spending MoM	Ensure ads credit utilised monthly	Ensure ads credit utilised monthly	50% of incremental ads spending cap $200	1, $110 monthly 2. Ads top voucher 50% NMS cap $440 **if top up >$220, 1 x HP shared banner*	1. $145 monthly 2. Ads top up 50% NMS cap $580
	Voucher	Uplift in ads spending MoM	-	-	50% of incremental ads spending cap $200	-	200 x vouchers monthly (15% off cap $5)
	CFS	10% discount vs BAU price, min 50 stock / slot	Meet CFS price criteria	Meet CFS price criteria	15 slots / month	2-5 slots/day	5 slots/day
	AMS	Activate min 6% AMS *(+15% on top 5 SKUs)*	Activate min 9% AMS	Activate min 6% AMS *(+15% on top 5 SKUs)*	1. Fashion Friday Campaign 2. Shopee Style Campaign	Sponsor additional commission %	1. Fashion livestream exposure 2. KOL support
Campaign Exposure	DD	10% vs BAU price	Meet campaign price criteria	Meet campaign price criteria	Platform rebate up to 8% with DD exposure	Feature in Home Circle	Platform rebate up to 5% with DD exposure
	SSV	15% off MBS min spend $6 cap $1.2 x 100 vouchers	Meet SSV criteria	Meet SSV criteria	Match 100 vouchers	1 x Feature Voucher	Shopee bears 50%

**All currency converted to USD*

Key Differences:

1. SG/MY provides fixed ads credits monthly; whereas VN tops up based on incremental investment (assuming sellers top up a lot MoM, VN's commitment could be more than SG/MY)

Topic 3f: Reg SSP Program

2024 Program recap | Regional SSP Jul-Nov'24 MoM GMV and proactive take rate have consecutively outperformed platform more than 2%. VN observed same trend with ADG MoM outperformed platform up to 10%

Takeaways:

- Reg SSP sellers achieved good performance, with both GMV and proactive revenue outperformed platform in SEA overall and VN for most months :
  1. **SEA Overall:** From Aug to Oct, SSP overall witnessed **additional ADG MoM growth uplift (3.3%~ 7.2%)** and **Revenue MoM growth uplift (0.7% ~ 7.9%)**. July underperformed platform by 1.1% in ADG and by 1.6% in proactive revenue because the program was launched in the last half of July, resulting in late target release and communications.
  2. **VN: SSP outperform platform in ADG in all months except Aug; and also outperformed in Revenue since July with monthly uplift ranging from 0.5 p.p. to 8.9 p.p.**. This is mainly driven by top sellers. For instance in Oct top CB sellers Pop Mart\上海亿品\时商创展 contributed ~46% program ADG incrementals while in Nov PopMart alone contributed over 70% ADG and Revenue incrementals. **Reg SSP will keep targeting top sellers and keep intense communication with key driver sellers in 2025 to foster growth.**

Region	Key Metrics		Q3 (NMV Based Mechanism) July	Aug	Sep	Q4 (GMV Based Mechanism) Oct	Nov
SEA overall	# of participant Sellers		119	120	120	143	143
	ADG (ADNMV)[1]	SSP ADG (ADNMV)	3,140,394	3,318,960	3,643,199	6,149,819	6,804,231
		SSP ADG (ADNMV) MoM	2.0%	7.0%	11.0%	9.9%	8.7%
		Benchmark - SEA Platform ADG (ADNMV) MoM	3.1%	2.5%	7.6%	2.7%	5.9%
		SSP Additional MoM uplift vs SEA platform MoM[3]	-1.1 %.	4.5 %	3.3 %	7.2 %	2.8 % (1)
	Proactive Revenue[2]	SSP Pro Revenue	358,899	402,463	460,245	483,285	595,751
		SSP Pro Revenue MoM	6.0%	12.1%	14.4%	5.0%	11.3%
		Benchmark - SEA Platform Pro Rev. MoM	7.6%	4.3%	8.9%	4.3%	8.4%
		SSP Additional MoM uplift vs SEA platform MoM[3]	-1.6 %.	7.9 %	5.4 %	0.7 %	2.8 % (1)
VN Site	# of participant Sellers		104	103	105	117	121
	ADG (ADNMV)[1]	SSP ADG (ADNMV)	387,151	414,974	441,276	765,782	915,302
		SSP ADG (ADNMV) MoM	3.0%	6.9%	8.3%	11.7%	10.0%
		Benchmark - VN Platform ADG (ADNMV) MoM	1.7%	7.9%	3.6%	1.6%	7.8%
		SSP Additional MoM uplift vs VN platform MoM[3]	1.3 %	-1.0 %.	4.8 %	10.1 %	2.2 % (2)
	Proactive Revenue[2]	SSP Pro Revenue	31,947	32,666	35,701	50,613	72,911
		SSP Pro Revenue MoM	-2.5%	10.5%	16.7%	3.9%	17.0%
		Benchmark - VN Platform Pro Rev. MoM	-9.4%	10.0%	7.8%	3.4%	9.7%
		SSP Additional MoM uplift vs VN platform MoM[3]	6.9 %	0.5 %	8.9 %	0.5 %	7.3 % (2)

Notes 1. ADNMV for Q3 and ADGMV in Q4 to stay aligned with the mechanism. 2. Per aligned with site, Reg SSP proactive revenue includes sellers' spending in FSS\CCB\Net ads\AMS\CPA\Marketing Package cash\ Livextra in VN, FSS\CCB\Net ads\AMS\CPA\Marketing Package cash\ MDV in PH, FSS\CCB\Net ads\AMS\CPA\Marketing Package cash in ID and Net ads\AMS\CPA\Marketing Package cash in MY&SG. 3. SSP additional MoM uplift = SSP MoM - Benchmark MoM;

2025 Proposal | to continue SSP focusing on country-level target with pro-active take rate target adjusted down by 0.5% vs 2024 and price comp. newly added as additional reward to boost seller investment

	2024 program (As-is)	2025 program (Modified)
Objective	The program is designed for top CB and CNLS sellers to boost GMV growth, increase investments, and enhance price competitiveness.	
MKT cover + Targeted GGP	1. **CB Sellers** (SG, MY, PH, TH, VN, TW): ~100 top sellers (ADG by GGP >10k) 2. **CNLS Sellers** (PH, TH, ID, VN, MY): 10 top sellers (ADG by GGP > 20k)	
Seller commitment	**1. GMV target** 1.1 Regional GMV Target (range 100% - 180%) 1.2 By site Floor GMV Target 2. **Pro-active Take Rate Growth Target** (+1% - 2% additional proactive take rate)	1. **GMV target:** Country GMV Target (range 100% - 160%) 2. **Pro-active Take Rate Growth Target** (+0.5% - 1.5% additional proactive take rate) 3. **Price Competitiveness target** (Brand sellers only): higher ratio of SKUs with equal or lower prices than TT and LZD *New*
Shopee commitment	1. Hit **both GMV and Proactive Take Rate** targets (range 1% - 2% of full GMV) ● Commission rebate: PH, SG, TH, MY ● Commission waiver: VN, TW ● Item rebate: ID	1. Hit **both GMV and Proactive Take Rate** targets (range 1% - 2% of full GMV) ● Commission rebate: PH, SG, TH, MY ● Commission waiver: VN, TW ● Item rebate: ID 2. Hit **both GMV and Proactive Take Rate** and **Price competitiveness target** (extra 0.3% ads credit of full GMV) *New*
Outcome	1. **# sellers: 16% of sellers achieved their targets**, but only at the Tier 1 level. 2. **ADG**: The total rewarded sellers **achieved 34% of the ADG** target, with a combined value of $2.3 million USD.	1. **# sellers: expected 24% of sellers achieve their targets**, distribute across 3 tiers 2. **ADG:** The total awarded sellers are **expected to achieve 41% of the ADG target**, with a projected total value of $2.8 million USD.

Back-up Detailed Program | Reg SSP Program Design 2025 Proposal: Program run by quarter; Reward sellers for hitting (a) GMV & Pro-active take rate growth targets and (b) Price competitiveness targets independently

Program Goal

Regional Scheme to drive Regional Impact

Drive top sellers' GMV growth

Incentivize top sellers to increase investment

Push for price competitiveness

Seller group

CB Sellers
SG, MY, PH, TH, VN, TW

~100 top sellers (ADG by GGP >10k)

CNLS Sellers
PH, TH, ID, VN, MY

10 top sellers (ADG by GGP > 20k)

2025 (Feb-Dec) program set up

Seller commitment

*Target set on a **monthly** basis, Sellers need to hit the 3 targets at the same time to be eligible for the rewards*

1. By Site GMV Target

Set baseline GMV targets by factoring in seller historical performance, platform forecast, and SSP program target uplift (15%~25% for each quarter at seller lvl)

- **Tier 1**: 100% - 115% to baseline GMV target
- **Tier 2**: 116% - 130% to baseline GMV target
- **Tier 3:** 131% - 160% to baseline GMV target

2. Pro-active Take Rate Growth Target

+1%-2% additional proactive take rate on top of sellers' historical performance

- **Tier 1**: +0.5% in Incremental investment %
- **Tier 2:** +1.0% in Incremental investment %
- **Tier 3**: +1.5% in Incremental investment %

3. Price Competitiveness target (Brand sellers only)

Brand/mall seller's SHP SKUs need to achieve higher ratio of SKUs with equal or lower prices than TT and LZD

Shopee commitment

*Review on a **monthly** basis, offering different types of rewards.*

a. Hit both GMV and Proactive Take Rate targets:

Reward Tiering applies for each type of rewards

- **Tier 1**: **1%** reward from the **full GMV**
- **Tier 2**: **1.5%** reward from the **full GMV**
- **Tier 3: 2%** reward from the **full GMV**

The format of the reward varies by site:

- Commission rebate: PH, SG, TH, MY
- Commission waiver: VN, TW
- Item rebate: ID

b. Hit Price competitiveness target

- Reward hit sellers with **0.3% ads credit** from the full GMV

Notes 1. Per aligned with site, Reg SSP proactive revenue includes sellers' spending in FSS\CCB\Net ads\AMS\CPA\Marketing Package cash\ Livextra in VN, FSS\CCB\Net ads\AMS\CPA\Marketing Package cash\ MDV in PH, FSS\CCB\Net ads\AMS\CPA\Marketing Package cash in ID and Net ads\AMS\CPA\Marketing Package cash in MY&SG.

Back-up - In 2025, SSP will add in seller PnL criteria on top of 3 existing criterias about commercial performance to ensure the program maintain positive PC2 in VN

	2024 program (As-is)	2025 program (Optimization)
Objective	The current seller selection criteria, with its focus on high-GGP sellers, has been effective. For 2025, the program aims to: (i) increase the number of sellers meeting the target, and (ii) ensure the program maintains a positive PC2.	
Seller selection criteria	**IN DEFAULT, 3 main criterias to see whether the GGP can stay or newly join in the program:** 1. Adg size in SEA as of the selection month: a. for CNCB GGP, adg>= 10k b. for CNLS GGP, adg>=20k 2. PC2 performance in SEA as of the selection month: a. for CNCB GGP, PC2+SLS profit > 0%; b. for CNLS sellers, PC2> -5% 3. 2023 Q4 historical seasonality: For Q4 new sellers, 2023 Dec vs Sep growth rate >0% (so they probably don't have downward seasonality in Q4)	**Keep default 3 main criteria as 2024** New **In 2025, require GGPs' PC2 in VN be neutral/positive to ensure the program overall PC2 to be good.** 1. Overall, ensure the program overall PC2 in VN site is positive 2. For mega sellers with ADG above 300k, like Xiaomi, probably will lower the requirement a bit, because they are vital for Shopee to counter TTS (which is valued by many other sites like PH/TH/ID etc)

2025 Program budget | Under the normal 40% achievement scenario, total budget 3.0 mil (commission waiver foregone revenue $2.6mil and paid ads credit $330K) for 2025 Feb-Dec, with an ROI of 3.1

Key numbers for 2025 Feb-Dec SSP total		Low Achievement	Normal Achievement *(Proposed)*	High Achievement
Total Budget [1]		**$1,831,343**	**$2,976,000**	**$4,167,118**
- Budget for waiver		$1,612,854	$2,648,267	$3,730,141
- Budget for ads credit		$218,489	$327,733	$436,977
Revenue uplift [2]		**$6,699,538**	**$9,315,719**	**$12,092,520**
ROI [3]		**3.7**	**3.1**	**2.9**
Incremental GMV, Dec 2025 vs Jan 2025		**$22,797,798**	**$27,104,765**	**$31,515,615**
Hit ratio Assumption	*1. Hit both GMV & Pro-active Take rate% Targets*	*In total 25% Program ADG achieve the targets: - 20% T1 - 3% T2 - 2% T3*	*In total 40% Program ADG achieve the targets: - 30% T1 - 7% T2 - 3% T3*	*In total 55% Program ADG achieve the targets: - 40% T1 - 10% T2 - 5% T3*
	2. Hit Price Competitiveness Targets	*20% sellers completed targets*	*30% sellers completed targets*	*40% sellers completed targets*
Target uplift	*GMV*	*T1 MoM growth rate raise by 5% to 7% on top of platform MoM forecast growth rate for each month*		
	Proactive Take rate%	*T1 Proactive Take rate% grows by 0.5 p.p. by quarter as per mechanism*		
	Price competitiveness	*% of SKU with lower or equal prices on SHP than on LAD/TTS improves*		

- *2024 monthly budget: 282K monthly budget - 100K usage on avg*
- *2025 expected monthly budget: 270K monthly budget*

Notes
1.Budget for waiver is estimated by assuming the hit selles' GMV would grow following the VN site's growth rate. For instance, for sellers completed targets in July, the waiver cost = sellers' July actual GMV (NMV) * VN site Aug MoM * VN site Sep MoM * 1%-2% reward ratio. 3. ROI = Revenue uplift / Rebate or Waiver investment. Budget for ads credit is estimated by assumed hit ratio and 0.3% reward from GMV.
2. Revenue uplift = SSP sellers' total actual proactive revenue of the Month - (the est. organic GMV of SSP sellers derived by M-1 actual GMV and platform MoM growth * Jun Actual Proactive Take rate%).
3. ROI = Revenue uplift / Total Budget

[Back up] Program PnL simulation with new seller selection and new target tier, SSP is expecting to achieve positive PC2 at 0.5%

				PNL Forecast Table - by Achived Tier			Forecast - Scenario 1		Forecast - Scenario 2		Forecast - Scenario 3	
		2024 As-is	2025 Target	T1	T2	T3	PGM Overall	*Impact*	PGM Overall	*Impact*	PGM Overall	*Impact*
	Unit	*Oct Actual PnL of SSP sellers*	*PnL of Targeted Participant Sellers*	*- Proactive Take Rate Target: Grow 0.5 p.p. per quarter - Reward lvl: 1% waiver on Full GMV*	*- Proactive Take Rate Target: Grow 1.0 p.p. per quarter - Reward lvl: 1.5% waiver on Full GMV*	*- Proactive Take Rate Target: Grow 1.5 p.p. per quarter - Reward lvl: 2% waiver on Full GMV*	*Hit ratio 25%: T1 20% \ T2 3% \ T3 2%*	*PGM overall vs As-is*	*Hit ratio 40%: T1 30% \ T2 7% \ T3 3%*	*PGM overall vs As-is*	*Hit ratio 55%: T1 40% \ T2 10% \ T3 5%*	*PGM overall vs As-is*
Take Rate%												
Take Rate	%	**14.7%**	**16.5%**	**18.2%**	**20.0%**	**21.7%**	**17.1%**	***0.6%***	**17.4%**	***0.9%***	**17.8%**	***1.3%***
Coms fee	%	3.4%	3.4%	3.4%	3.4%	3.4%	3.4%	*0.0%*	3.4%	*0.0%*	3.4%	*0.0%*
Handling	%	3.5%	3.5%	3.5%	3.5%	3.5%	3.5%	*0.0%*	3.5%	*0.0%*	3.5%	*0.0%*
Proactive Take rate	%	**7.8%**	**9.6%**	**11.3%**	**13.1%**	**14.8%**	**10.2%**	***0.6%***	**10.5%**	***0.9%***	**10.9%**	***1.3%***
FSSCCB	%	3.8%	4.3%	4.3%	4.3%	4.3%	4.3%	*0.0%*	4.3%	*0.0%*	4.3%	*0.0%*
Net Ads	%	3.6%	4.7%	6.2%	7.8%	9.3%	5.2%	*0.5%*	5.5%	*0.8%*	5.9%	*1.2%*
MKT PKG	%	0.2%	0.3%	0.4%	0.5%	0.6%	0.3%	*0.0%*	0.4%	*0.1%*	0.4%	*0.1%*
Ams	%	0.5%	0.7%	0.9%	1.2%	1.4%	0.8%	*0.1%*	0.8%	*0.1%*	0.9%	*0.2%*
Cpas	%	0.1%	0.1%	0.1%	0.2%	0.2%	0.1%	*0.0%*	0.1%	*0.0%*	0.1%	*0.0%*
Live-extra	%	0.2%	0.3%	0.4%	0.5%	0.6%	0.3%	*0.0%*	0.4%	*0.1%*	0.4%	*0.1%*
CIR												
CIR	%	**16.1%**	**16.1%**	**16.1%**	**16.1%**	**16.1%**	**16.1%**	***0.0%***	**16.1%**	***0.0%***	**16.1%**	***0.0%***
Voucher rebate	%	5.4%	5.4%	5.4%	5.4%	5.4%	5.4%	*0.0%*	5.4%	*0.0%*	5.4%	*0.0%*
Coin rebate	%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	*0.0%*	0.0%	*0.0%*	0.0%	*0.0%*
Item rebate	%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	*0.0%*	0.4%	*0.0%*	0.4%	*0.0%*
Logistic rebate	%	10.3%	10.3%	10.3%	10.3%	10.3%	10.3%	*0.0%*	10.3%	*0.0%*	10.3%	*0.0%*
Transaction												
Transaction	%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	*0.0%*	0.4%	*0.0%*	0.4%	*0.0%*
Foregone Rev												
Commission waiver	%	0.0%	0.0%	1.0%	1.5%	2.0%	0.3%	*0.3%*	0.5%	*0.5%*	0.7%	*0.7%*
PnL												
PC1	%	-1.4%	0.4%	1.1%	2.4%	3.6%	0.7%	*0.3%*	0.9%	*0.5%*	1.1%	*0.7%*
PC2	%	-1.8%	0.0%	0.7%	2.0%	3.2%	0.3%	*0.3%*	0.5%	*0.5%*	0.7%	*0.7%*
Total SLS Profit	%	4.1%	4.1%	4.1%	4.1%	4.1%	4.1%	*0.0%*	4.1%	*0.0%*	4.1%	*0.0%*
After SLS Profit	%	2.3%	4.1%	4.8%	6.1%	7.3%	4.4%	*0.3%*	4.6%	*0.5%*	4.8%	*0.7%*

[Back up] Regional SSP Jul-Nov'24 program saw an average ROI of 3.1 in VN and contributed 3.6% ADG incremental to VN site

Region	Key Metrics		Q3 (NMV Based Mechanism) Jul	Aug	Sep	Q4 (GMV Based Mechanism) Oct	Nov	Average
SEA overall	Program PnL	AD Revenue uplift [1]	-3,710	30,759	18,133	26,116	24,888	19,237
		AD Rebate investment [2]	5,966	7,079	7,665	8,899	7,473	7,416
		ROI [3]	-0.6	4.3	2.4	2.9	3.3	2.5
	Program impact on Topline	ADG contribution to SEA	2.6%	2.3%	2.3%	3.3%	3.2%	2.7%
		% of ADG incremental to SEA incre.	1.1%	5.9%	3.1%	8.3%	4.8%	4.6%
		ADG uplift	-25,464	229,040	383,080	523,002	233,471	268,626
	Completion	% ADG of hit sellers	**17%**	**19%**	**26%**	**34%**	**23%**	24%
VN site	Program PnL	AD Revenue uplift [1]	500	547	4,173	5,730	8,602	3,910
		AD Waiver investment (est.) [2]	78	1,019	467	1,882	3,904	1,470
		ROI [3]	6.4	0.5	8.9	3.0	2.2	4.2
	Program impact on Topline	ADG contribution to VN	2.0%	2.0%	2.0%	2.4%	2.7%	2.2%
		% of ADG incremental to VN incre.	3.2%	0.4%	0.8%	10.1%	3.4%	3.6%
		ADG uplift	18,385	2,486	5,265	69,376	18,137	22,730
	Completion	% ADG of hit sellers	**2%**	**21%**	**12%**	22%	42%	**20%**

Takeaways:

- **Reg SSP has showed good impact on platform's pnl and topline:**
  1. **PnL:** SEA overall ROI landed at **2.5** for the past 5 months, and VN has a better ROI of **4.2**. Program brought more revenue uplift over spending.
  2. **Impact:** SSP program contributed **4.6% ADG incrementals** in SEA with only 2.7% ADG presentation; In VN SSP program contributed **3.6% ADG incremental** with 2.2% ADG presentation.
- **Reg SSP saw better seller completion performance in Oct & Nov after Q4 scheme adjustment** (replaced NMV metrics with GMV metrics for better seller communication):
  3. SEA overall % of ADG of target hit sellers raised to **23%-34%** vs. Q3 17%-26%. VN site saw **22-42%** hit ratio in Q4 vs Q3 2%-21%.
     - *SEA overall hit ratio was driven significantly by ID site (~70% hit ratio) as ID site waives 3 big sellers' proactive take rate% targets in ID to encourage them to improve price competitiveness on SHP than on TT/LZD.*

Notes 1. Revenue uplift = SSP sellers' total actual proactive revenue of the Month - (the est. organic GMV of SSP sellers derived by M-1 actual GMV and platform MoM growth * Jun Actual Proactive Take rate%). 2. Rebate investment for non-VN sites are calculated based on the hit sellers actual GMV(NMV) of the month and their actual reward tier; Wavicer investment in VN site for the month is estimated by assuming the hit selles' GMV(NMV) would grow following the VN site's growth rate. For instance, for sellers completed targets in July, the waiver cost = sellers' July actual GMV (NMV) * VN site Aug MoM * VN site Sep MoM * 1%-2% reward ratio. 3. ROI = Revenue uplift / Rebate or Waiver investment.